
****Wealth Management Proposal for Mr. Rahul Sharma****

1. Profile Summary

- ****Name:**** Rahul Sharma
- ****Age:**** 38
- ****Occupation:**** Senior IT Manager
- ****Marital Status:**** Married
- ****Dependents:**** 2 (Spouse, 1 Child)
- ****Risk Appetite:**** Moderate
- ****Key Priorities:**** Child's education, Retirement, Short-term goals (Vacation), Long-term wealth c

2. Financial Analysis

- ****Monthly Net Income (after taxes est.):**** ■2,50,000 (salary) + ■25,000 (rent) = ****■2,75,000****
- ****Annual Bonus (net):**** ■5,00,000
- ****Liquid Assets:****
 - Savings: ■8,00,000
 - Fixed Deposits: ■12,00,000
 - Equity: ■15,00,000
 - Mutual Funds: ■10,00,000
- ****Real Estate:****
 - Self-occupied House: ■80,00,000
- ****Liabilities:****
 - Home Loan Outstanding: ■45,00,000
 - Car Loan Outstanding: ■5,00,000
 - Credit Card Dues: ■75,000
- ****Monthly Outflows:****
 - Household Expenses: ■80,000
 - EMI (Home): ■45,000
 - EMI (Car): ■15,000
 - Insurance Premium: ■10,000
 - ****Total:**** ■1,50,000/month
 - ****Monthly Surplus:**** ~■1,25,000 (excluding bonus)
- ****Emergency Fund (Liquid):**** ~■8,00,000 (good for ~5 months' fixed outflows)
- ****Insurance:****
 - Term: ■1 Crore

- Health: Family Floater ■10 Lakhs

3. Risk Level

- **Moderate:** Comfortable with a balance between equity and debt, open to some volatility for high

4. Strategic Approach

Objective:

1. Meet short-term (2 years: vacation fund) and long-term (10+ years: child education, 20+ years: re
2. Maintain adequate liquidity and contingency planning.
3. Optimize tax outgo.
4. Protect family's financial well-being against unforeseen risks.

5. Recommended Asset Allocation

Asset Class	Current	Target (%)	Target Value (■ Lakh)	Action
Equity (Direct + MF)	25	40	22	Increase SIPs, Diversify
Debt (FDs, Debt MF)	20	25	14	Partial shift to Debt MF
Gold/Alternatives	0	10	5.5	Add via ETFs/SGBs
Liquid/Short-term	8	10	5.5	Maintain Liquidity
Real Estate	47	15 (as % liq)	8	Hold; not incremental

*Total investable corpus factored at ~■55 Lakh (excluding self-occupied house).
Real Estate excluded from active allocation; focus is on financial assets.*

6. Product Recommendations

a. **Equity & Mutual Funds (Target: 40%)**

- **Multi-cap Mutual Funds:** ICICI Prudential India Opportunities, Canara Robeco Multi Cap
- **Index Funds:** Nifty 50 or Nifty Next 50 Index Fund (low cost, long-term compounding)
- **Mid-cap Exposure:** WhiteOak India Midcap Fund or Franklin India Prima
- **International Funds:** Diversify with Motilal Oswal S&P 500 or Nasdaq 100 FOF (5% allocation)
- **Continue/direct SIPs:** Minimum ■45,000/month

b. **Debt Instruments (Target: 25%)**

- **Debt Mutual Funds:** ICICI Prudential Corporate Bond Fund, Franklin India Short Term Income
- **Tax-free Bonds:** Select PSU bonds when available

- **Partial move from FDs** (for tax-efficiency and liquidity)

c. **Gold/Alternatives (10%)**

- **Sovereign Gold Bonds (SGBs)**
- **Gold ETFs:** For SIP and liquidity

d. **Liquid & Arbitrage (10%)**

- **Liquid Funds:** HDFC Liquid Fund, Groww Liquid Fund for emergency/lump-sum parking
- **Short-term Arbitrage Funds** for slightly better yields than savings

e. **Tax Saving (ELSS)**

- **ELSS Mutual Funds:** Groww ELSS, Axis Long Term Equity Fund (for 80C)—integrate with SIPs

7. Projected Returns

Asset	Expected CAGR* (Next 10Y)	Contribution (%)	Weighted CAGR
Equity	11-13%	40	4.8-5.2
Debt	6-7%	25	1.5-1.75
Gold	6-7%	10	0.6-0.7
Liquid/Short-term	4-5%	10	0.4-0.5

Net Weighted Expected Return (Next 10 Years): ~7-8% p.a.

Child Education Fund:

- Target: **50 Lakhs** in 10 years
- SIP of **25,000/month** in diversified equity funds at 11% CAGR can achieve ~**52-55 Lakhs**

Retirement Fund:

- Target: **3 Crore** in 20 years
- Assuming continued SIPs and bonus investments (**70,000/month** equivalent + annual top ups), you can

Vacation Fund:

- Short-term debt/liquid fund SIP of **20,000/month** for 2 years → ~**5.1 Lakhs** (at 5% return p.a.)

8. Risk Mitigation

- **Review Insurance:** With rising expenses and inflation, increase term cover to **2 Crores** (by mid
- **Estate Planning:** Draft a will, review nominee details, especially as the asset base grows.
- **Contingency:** Maintain at least 6 months' expenses in highly liquid form (keep liquid fund at **10 Lakhs**)
- **Debt Management:** Close credit card outstanding immediately; consider part prepayment of car/ho

9. Conclusion

Mr. Sharma, your disciplined savings and investments have created a strong financial foundation. By

****Next Steps:****

- Initiate/boost SIPs as per goal-based allocation.
- Review insurance adequacy and consider a top-up.
- Begin annual portfolio and goal review meetings.

*This proposal is designed for balanced growth, capital preservation, and wealth creation aligned to

*Prepared by:

[Your Name], Senior Wealth Manager

[Date]*
